

Nepal Doorsanchar Company Limited (Nepal Telecom)

Financial Statements — Fiscal Year 2022/23 (FY2023)

For the year ended Ashadh 31, 2080 (15 July 2023). All amounts in NPR Millions unless otherwise stated. Prepared in accordance with Nepal Financial Reporting Standards (NFRS).

Synthetic document for the ICAN GenAI workshop. All figures are fictional and used purely for educational demonstration.

Statement of Financial Position (Balance Sheet)

Particulars	FY2023	FY2022
ASSETS		
Non-Current Assets		
Property, Plant and Equipment (Network)	78,420	76,180
Intangible Assets (Spectrum Licences)	22,140	21,460
Long-term Investments	8,420	7,860
Deferred Tax Asset	1,240	1,180
Total Non-Current Assets	110,220	106,680
Current Assets		
Cash and Bank Balances	34,820	32,180
Trade Receivables	5,420	5,180
Inventories (Network Equipment)	1,840	1,720
Other Current Assets	540	1,160
Total Current Assets	42,620	40,240
Total Assets	152,840	146,920
EQUITY AND LIABILITIES		
EQUITY		
Share Capital	15,000	15,000
Reserves and Retained Earnings	83,140	77,460
Total Equity	98,140	92,460
Non-Current Liabilities		
Long-term Borrowings	18,420	21,180
Deferred Income (Subscriber Advances)	12,640	11,820
Provisions (Decommissioning)	1,820	1,640
Total Non-Current Liabilities	32,880	34,640
Current Liabilities		
Trade and Other Payables	11,240	10,620

Short-term Borrowings	4,820	3,840
Current Tax Liabilities	2,140	1,940
Accrued Expenses and Provisions	3,620	3,420
Total Current Liabilities	21,820	19,820
Total Liabilities	54,700	54,460
Total Equity and Liabilities	152,840	146,920

Statement of Profit or Loss

Particulars	FY2023	FY2022
Revenue from Mobile Services	31,420	30,180
Revenue from Fixed-Line and Broadband	9,860	9,420
Revenue from Enterprise and Wholesale	5,900	5,720
Total Revenue	47,180	45,320
Network Operations and Maintenance	(11,820)	(11,180)
Interconnect Charges	(2,640)	(2,520)
Personnel Expenses	(7,820)	(7,380)
Selling and Marketing	(2,140)	(2,040)
Other Operating Expenses	(3,540)	(3,140)
EBITDA	19,220	19,060
Depreciation and Amortisation	(5,800)	(5,880)
Operating Profit (EBIT)	13,420	13,180
Finance Income	1,840	1,620
Finance Costs	(1,140)	(1,260)
Profit Before Tax	14,120	13,540
Tax Expense	(4,260)	(3,900)
Net Profit for the Year	9,860	9,640
Earnings Per Share (Basic, NPR)	65.73	64.27

Selected Liquidity and Solvency Indicators

Indicator	FY2023	FY2022
Current Assets	42,620	40,240
Current Liabilities	21,820	19,820
Current Ratio (times)	1.95	2.03
Quick Ratio (excl. inventory)	1.87	1.94
Total Equity	98,140	92,460
Total Liabilities	54,700	54,460
Debt-to-Equity Ratio (times)	0.56	0.59
Net Profit Margin	20.90%	21.27%
EBITDA Margin	40.74%	42.05%
Return on Equity (ROE)	10.05%	10.43%
Return on Assets (ROA)	6.45%	6.56%

Notes to the Financial Statements (Selected)

Note 1 — Basis of Preparation

These financial statements have been prepared in accordance with Nepal Financial Reporting Standards (NFRS) and the Company Act 2063. The functional and presentation currency is the Nepalese Rupee (NPR).

Note 2 — Revenue Disaggregation

Revenue Stream	FY2023 (NPR M)	% of Total
Mobile Voice	11,240	23.8%
Mobile Data	16,420	34.8%
SMS and VAS	3,760	8.0%
Fixed-Line Voice	2,180	4.6%
Broadband (FTTH and DSL)	7,680	16.3%
Enterprise Connectivity	4,140	8.8%
Wholesale and International	1,760	3.7%
Total Revenue	47,180	100.0%

Note 3 — Property, Plant and Equipment (Network Assets)

Network assets comprise base transceiver stations, optical fibre cable, switching equipment, transmission systems, and subscriber-end equipment. Capital expenditure during the year was NPR 8.42 billion, of which NPR 3.20 billion related to 5G infrastructure. Useful lives for depreciation range from 7 years (RF equipment) to 20 years (cable network).

Note 4 — Spectrum Licences

The Company holds spectrum licences for the 900 MHz, 1800 MHz, 2100 MHz, 2300 MHz, and 700 MHz bands. The newly acquired 700 MHz licence for 5G services was capitalised at NPR 1.84 billion during the year and is amortised over the 15-year licence period.

Note 5 — Related Party Transactions

The Government of Nepal holds 91.49 percent of the Company's share capital. Royalty payments to the Government of NPR 1,887 million (4 percent of gross revenue) and rural telecommunications development fees of NPR 943 million (2 percent of gross revenue) were recognised during the year.